

and arrive at their destinations quickly, while others would leave during rush hour traffic and have a much longer drive. Still others would leave at different times with less extreme conditions. The average driving time gives you a rough idea of how long your drive will be, but without knowing what time you're leaving and what the conditions will be at that exact time, you could either arrive at the airport early or you could miss your flight entirely.

Figuring out how much money you need to be FI is similar. Stock markets are volatile. Interest rates change. The rate of inflation is variable. Just as there are times you can get to the airport faster than others, there are times when you can expect to spend more than 4 percent. Similarly, just as some people will sit in rush hour traffic, there will be times when you'll spend less than 4 percent.

If you are unlucky and retire at the wrong time and blindly withdraw from a portfolio when markets are down at the beginning of your retirement, there is a much greater chance that you'll run out of money in retirement. This is referred to as sequence of returns risk. We have to continue to learn, remain flexible, and adjust to conditions on the ground when we encounter them. ERN advises we use the "4 percent rule of thumb" to get started. Then we can reassess conditions as we get closer to the destination before